

CONSUMER ELECTRONICS: Is It The Time For Make in India?



Sudeshna Das is senior executive editor at EFY

The Indian consumer durables market, including consumer appliances and consumer electronics, is booming. With an affluent middle class and the country's economic growth on a rapid track, this sector has never before witnessed such amazing growth. According to a report published by global consulting firm Ernst & Young (E&Y), India's appliance and consumer electronics sector is expected to reach US\$ 20.6 billion by 2020 at a compound annual growth rate (CAGR) of 13.4 per cent (Fig. 1). The consumer electronics sector plays an important role in the country's economy and also creates employment opportunities to millions of people.

This discourse will provide an overview of India's consumer electronics market, focusing primarily on growth drivers, opportunities and disabilities to local manufacturing.

The demand side

In India, the consumer electronics and durables market is considered a high-spend priority sector that accounts for more than 40 per cent of end consumer spending and contributes more than ₹ 150 billion to state and central government revenues, as per IBEF analysis. Urban markets account for

the major share (65 per cent) of total revenues in the consumer durables sector in the country (Fig. 2), according to CEAMA report and E&Y analysis. Demand in urban markets is expected to increase for non-essential products such as LED TVs, laptops, split ACs, and beauty and wellness products.

However, future growth will predominantly come from rural markets. The rural market representing approximately 69 per cent households of the country, augments huge demand for the consumer durables industry, specifically for first-time purchases. Around 50 per cent of the rural population owns TVs, eight per cent owns refrigerators and around one per cent owns washing machines. In rural markets, durables like refrigerators as well as consumer electronics goods are likely to witness growing demand in the coming years as the government plans to invest significantly in rural electrification.

Overall, the market for white goods (washing machines, ACs, refrigerators, etc) and TVs has been increasing and is expected to grow underpenetrated (Fig. 3). Considering that in the past few years, the consumer durables market in the country has been continuously flooding with a plethora of products with diverse features and advanced technologies, the replacement cycle has reduced from nine to ten years to four to five years for most of the goods in this sector. This, in turn, increases the opportunity for replacement purchase.

In spite of huge demand, India is still a highly-underpenetrated market for this sector as compared to the global average (Fig. 4). There is a huge scope to enhance local consumption and market penetration by encouraging first-time purchases through primary sales, specifically in the rural market. Secondary (replacement) sales will remain predominant in the urban markets. Moreover, reduction in the total

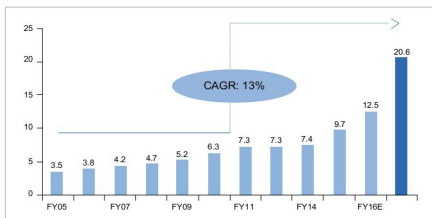


Fig. 1: Estimated size of the Indian consumer electronics market (in US\$ billions)
(Source: IBEF analysis)